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2011

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1. Overview of the tax-benefit system

Unemployment Benefit (Jobseeker's benefit) is a weekly payment for persons who have made social security contributions and are out of work. Payment is made at flat rates with reduced amounts for persons who had low earnings while in work.

Unemployment Assistance (Jobseeker's allowance) is paid to those unemployed who have exhausted their entitlement to Unemployment Insurance or who do not qualify for that payment. Unemployment Assistance is means tested. Payment is made at flat rates reduced by the amount of any means.

Additions are made to Unemployment Benefit and Unemployment Assistance for any adult or child dependants while family benefits are universal. There are four schemes designed to facilitate the return to work by the unemployed and to aid families on lower incomes.

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

1.1. Average worker wage (AW)

The 2011 average wage (AW) was EUR 32 369¹.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp).
For more information on methodology see *Taxing Wages 2009-2010*, OECD, 2011, part IV.

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2. Unemployment Benefit (Jobseeker's benefit)-

2.1 Conditions for receipt

- To be aged 16 or over, and under 66.
- Be unemployed.
- Be under pension age.
- Be capable of work.
- Be available for full time work.
- Be genuinely seeking work.
- Prove unemployment in the prescribed manner.
- To have suffered a substantial loss of employment and a resulting loss of earnings.
- To be fully unemployed for at least 3 days in any period of 6 consecutive days.

2.1.1 *Employment conditions*

To be fully unemployed for at least 3 days in any period of 6 consecutive days. Sunday is not counted for this calculation.

2.1.2 *Contribution conditions*

To have 52 contributions paid since starting work and to have 39 paid social insurance contributions in the last Governing Contribution Year, or have at least **26 reckonable contributions** paid in both the Governing Contribution Year and the year immediately preceding the Governing Contribution Year.

2.2 Calculation of benefit amount

Flat rate payments are made for each week/day of unemployment. Increases are paid for dependent children and dependent adults.

2.2.1 *Calculation of gross benefit*

Weekly rates (in EUR)

Personal rate	188.00
Qualified Adult increase	124.80
Each qualified child	
Full rate	29.80
Half rate	14.90

Where weekly earnings while in employment were below certain amounts reduced rates of payment are made.

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Jobseekers's Benefit rates are graduated according to earnings in the relevant tax year.

Average weekly earnings (in EUR)	Personal rate (in EUR)	Qualified adult increase (in EUR)
Less than 150.00	84.50	80.90
150.00 and less than 220.00	121.40	80.90
220.00 and less than 300.00	147.30	80.90
300.00 or more	188.00	124.80

If the person was in receipt of Jobseeker's Allowance prior to 26 September 2007, he may get a reduced rate qualified adult increase if his or her spouse or partner has earnings or income in excess of €100.00 and up to €310.00 gross per week.

Any increases due for dependent children are not earnings related

2.2.2 *Income and earnings disregards*

Where a person in receipt of Unemployment Benefit is employed for a day or part of a day no payment is made for that day. Earnings from employment are not assessed.

One can get an increase of €29.80 for each qualified child if one qualifies for an increase for a qualified adult or if one is parenting alone. If the person does not qualify for an increase for a qualified adult, he may get a half-rate qualified child increase, if the spouse or partner has an income of €400 or less a week.

If the person was in receipt of Jobseeker's Allowance prior to 26 September 2007, he may get a reduced rate qualified adult increase if his or her spouse or partner has earnings or income in excess of €100.00 and up to €310.00 gross per week.

2.3 *Tax treatment of benefit and interaction with other benefits*

The first EUR 13 per week of Unemployment Benefit payment and the dependant child element are disregarded for tax purposes.

2.4 *Benefit duration*

Payable for 15 months (390 days – 6 days per week), after a 3-day waiting period. Where the claimant has paid less than 260 contributions duration of Unemployment Benefit shall be limited to 312 days.

Changed from 15 October 2008, according to the website

(http://www.citizensinformation.ie/categories/social-welfare/social-welfare-payments/unemployed-people/unemployment_benefit)

From 15 October 2008, Jobseeker's Benefit can be paid for a maximum of **12 months** to:

- New claimants who have at least 260 paid contributions

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- People getting Jobseeker's Benefit for less than 6 months on 15 October 2008 who have at least 260 paid contributions.

From 15 October 2008, Jobseeker's Benefit can be paid for a maximum of **9 months** to:

- New claimants who have less than 260 paid contributions
- People getting Jobseeker's Benefit for less than 3 months on 15 October 2008 who have less than 260 paid contributions.

2.5 ***Treatment of particular groups***

2.5.1 *Young persons*

A person under 18 years of age is entitled to 156 days of Unemployment Benefit (26 weeks only), after which entitlement is expired. If however, he/she reaches age 18 on or before expiry of 156 days, he/she is entitled to Unemployment Benefit for up to 312 days (from the original date of claim).

2.5.2 *Older workers*

If applicant is 65, the benefit can be paid until 66 (pension age) if 156 weekly contributions have been paid.

2.5.3 *Others if applicable*

Those in receipt of lone parent allowance or a widow's (contributory) pension receive half of the personal rate, and no dependants' allowance

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3. Unemployment assistance (Jobseeker's Allowance)

Unemployment assistance is paid to unemployed people who do not qualify for unemployment benefit or who have exhausted their entitlement to that benefit. It is income and asset-tested.

3.1 Conditions for receipt

- Be aged 18 or over, and under the pension age of 66.
- Be fully unemployed for at least 3 days in any period of 6 consecutive days.
- Be capable of work.
- Be available for full time work.
- Be genuinely seeking work.
- Satisfy the conditions as to means.
- Prove unemployment in the prescribed manner.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

The payment is made up of a personal rate and extra amounts for the dependants and is made for each day unemployed

Weekly rates

Personal rate	EUR
Maximum rate	188.00
Adult dependant	124.80
Each qualified child	
Full rate	29.80
Maximum personal rate where claimant is aged under 18 - 21 years	100.00
Increase for Qualified Adult	100.00
Maximum personal rate where claimant is aged under 22 - 24 years	144.00
Increase for Qualified Adult	
124.80	

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Under 25 rates for Jobseeker's Allowance

Persons not effected

- 18 to 24 year olds with a qualified child;
- those transferring to Jobseeker's Allowance immediately after exhausting their entitlement to Jobseeker's Benefit;
- those making a claim for Jobseeker's Allowance where that claim is linked to a Jobseeker's Allowance claim made within the previous 12 months to which the maximum personal rate applied;
- those transferring directly to Jobseeker's Allowance from Disability Allowance.

Where a person is in receipt of a rate of Jobseeker's Allowance applicable to persons aged under 25 and he or she participates in a course of education, training, Community Employment, Rural Social Scheme or Tús, the full normal rate of payment applicable to that course/scheme applies without any reduction for persons aged under 25.

Where a person is under 25 and has completed such a course of education, Training, Community Employment, Rural Social Scheme or Tús, he or she will revert to the appropriate age related rate of Jobseeker's Allowance, if they previously had been in receipt of such a rate.

Specific provisions for claimants aged 22 – 24

Where a claimant of Jobseeker's Allowance is aged 22 - 24 years of age, the rate applicable to 22 - 24 year olds shown above does not apply where:

- The period of unemployment commenced on or before December 30, 2009.
- The claimant is participating in the Work Placement programme operated by FAS.

Specific provisions for claimants aged 18 – 21

Where a claimant of Jobseeker's Allowance is aged under 18 - 21 years, the rate applicable to 18 to 21 year olds shown above does not apply where/to:

- The period of unemployment commenced on or before December 30, 2009.
- The claimant was aged 18 or 19 on December 30, 2009 and the period of unemployment commenced on or before April 29, 2009.
- Certain people who were in the care of the HSE during the period of 12 months before he or she attained the age of 18.

3.2.2 *Income and earnings disregards*

- a) If recipient is working part-time or casually (up to 3 days per week) payments of Unemployment Assistance for the full week less 60 per cent of average net weekly earnings will be made. (If recipient has no child dependants, EUR 20 per day worked is first deducted from the average net weekly earnings and then 60 per cent of the balance is assessed as the weekly means.)
- b) If the person was in receipt of Jobseeker's Allowance prior to 26 September 2007, he may get a reduced rate qualified adult increase if his or her spouse or partner has earnings or income in excess of €100.00 and up to €310.00 gross per week.

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- c) Unemployment Assistance is a means tested payment. Means include any income, pension, savings or property (except for own residence) which claimant or spouse might have. A reduced payment is made when the claimant has means.

3.3 ***Tax treatment of benefit and interaction with other benefits***

Not Taxable

3.4 ***Benefit duration***

Unlimited. It is paid from the first day for those who had an unemployment benefit claim, and after a three-day waiting period for those who cannot qualify for unemployment benefit.

3.5 ***Treatment of particular groups***

3.5.1 ***Young persons***

None

3.5.2 ***Older workers***

None

3.5.3 ***Others if applicable***

None

4. Social assistance

~~Supplementary Welfare Allowance (SWA) is a financial assistance scheme. SWA is not commonly paid to the unemployed.~~

Basic Supplementary Welfare Allowance (SWA) provides financial support to those whose means are insufficient to meet their needs and those of their dependants.

SWA can consist of a basic weekly payment and/or a supplement in respect of certain expenses a person may not be able to meet. The supplements include Rent and Mortgage Interest Supplements.

There are two categories of claimants for basic SWA:-

- People who fail to meet the conditions for entitlement to a weekly social welfare or qualifying HSE payment.
- People who have applied for a social welfare payment and are getting a Basic SWA payment pending a decision on their claim.

4.1 Conditions for receipt

Subject to the legislation governing the scheme, every habitually resident person in the State whose means are insufficient to meet his/her needs and the needs of his/her qualified adult or child(ren) shall be entitled to Supplementary Welfare Allowance.

A number of categories are specifically excluded from receiving assistance. These are people in full-time work, people in full-time education and people involved in trade disputes. The qualified spouse and qualified child(ren) of a person involved in trade dispute are not excluded from SWA for the period of the strike.

A person will not be regarded as being in full-time work where he/she is employed for less than 30 hours a week.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The payment is made up of a personal rate and extra amounts for the dependants

Weekly Rates (as of 1st July 2011)

Family situation	Rates (in EUR)
Maximum personal rate	186.00
Increase Qualified Adult	124.80
Each Qualified Child	29.80

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Supplementary Welfare Allowance rates for claimants under 25 from January 2011.

Supplementary Welfare Allowance maximum rate for people under 25 years of age			
Age	Personal rate	Increase for a Qualified Adult	Applies to
18 - 19	€100	€100	New and existing claimants
20 - 21	€100	€100	New claimants
22 - 24	€144	€124.80	New claimants

The reduced personal and qualified adult rate of Supplementary Welfare Allowance for claimants under 25 years of age do not apply in the following cases:

- People with dependent children
- People aged 18 or 19 on 30 December 2009 and getting SWA since 29 April 2009
- People at least 20 years of age on 30 December 2009 who are getting SWA since 30 December 2009
- Certain children in the care of the HSE during the 12 months before reaching 18 years of age will also be assessed using the JA rate for people aged 25 or over.

4.2.2 *Income and earnings disregards*

There is a one-to-one income test using on Total net family income (including unemployment insurance, assistance, Back to Work Scheme, Part-time Job Incentive Scheme, lone parent benefits and Family Income Supplement). Family benefits are excluded.

4.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

4.4 *Benefit duration*

As long as the conditions are fulfilled.

4.5 *Treatment of particular group*

4.5.1 *Young persons*

None

4.5.2 *Older workers*

None

4.5.3 *Others if applicable*

None

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5. Housing benefits

Rent and Mortgage Interest Supplements ensure that the recipient's income after paying rent/mortgage interest is not less than the Supplementary Welfare Allowance rate less an amount of €24.00 per week.

5.1 Conditions for receipt

Rent Supplement:

Rent Supplement, which is payable under the Supplementary Welfare Allowance scheme, is paid to people living in private rented accommodation who cannot provide for the cost of their accommodation from their own resources.

At the time of application for a rent supplement, the claimant must:

- have been residing in private rented accommodation (where at the commencement of the tenancy the person could have reasonably afforded the rent and has experienced a substantial change in his or her circumstances where they are now unable to pay the rent) or accommodation for homeless persons or in an institution (or any combination of these) for a period of 183 days within the preceding 12 months of the date of claim for Rent Supplement,
- or
- have had an assessment of housing need carried out within the 12 months preceding the date of claim and have been deemed by the relevant local authority to be eligible for and in need of social housing support.

In all other cases, a person who wishes to apply for rent supplement will be referred, in the first instance, for an assessment of eligibility for social housing support by the local housing authority in the area where claim to rent supplement is made (and the person intends to reside). Only when the person has been assessed as being eligible for and in need of social housing support, does the person become eligible for consideration for rent supplement.

To qualify for rent supplement a person:

- must be in receipt of Social Welfare or Health Service Executive payment and satisfy the general conditions of entitlement to SWA but there are exceptions to this rule as outlined below in Section 4;
- must be a bona fide tenant;
- must satisfy the Health Service Executive that he/she has a housing need which he/she cannot meet from his or her own resources;
- must apply to the local housing authority for an assessment of housing needs, if requested to do so by the Health Service Executive
- must be Habitually Resident in the State.

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In addition, the Health Service Executive must be satisfied that:

- The accommodation is suited to the person's needs;
- The amount of rent being paid is within limits set

Rent Supplement may be payable where the customer or spouse is engaged in full-time employment – subject to certain conditions. Where an existing Rent Supplement tenant has been accepted by the local housing authority as being eligible for accommodation under the Rental Accommodation Scheme, a person may engage in full time employment and still be considered for Rent Supplement, subject to their satisfying all of the other conditions of the scheme.

The Rental Accommodation Scheme is administered by local housing authorities under the aegis of the Department of the Environment, Housing and Local Government. Its purpose is to provide accommodation from the private rented market or through other social housing measures to persons with a long term housing need. **Mortgage Interest Supplement**

Mortgage Interest Supplement provides short term support to eligible people who are unable to meet mortgage **interest** repayments in respect of a house which is their sole place of residence.

- A person may be entitled to a supplement towards the amount of mortgage interest payable in respect of his or her residence provided that:
 - The loan agreement was entered into at a time when, in the opinion of the Health Service Executive, the person was in a position to meet the repayments.
 - The residence in respect of which the loan is payable, is not offered for sale
 - He or she is habitually resident in the State
- The Health Service Executive must be satisfied in all cases that:
 - The amount of the mortgage interest payable by the claimant does not exceed such amount as the Health Service Executive considers reasonable to meet his or her residential and other needs.
 - It is reasonable to award a supplement having regard to the amount of any arrears outstanding on the loan.
- In exceptional circumstances, the Health Service Executive may award a supplement where the amount of mortgage interest payable by a person exceeds such amount as the Health Service Executive considers reasonable to meet his or her residential and other needs. Such supplement is payable for a maximum of 12 months from the date of the claim.
- From 1st January 2011, a new condition was introduced whereby Rent Supplement is not payable in respect

of a tenancy where the landlord:

has not provided the Department's representative with a Tax Reference Number in a prescribed form,

or

has not advised the Department's representative in a prescribed form that she/he has no Tax

Reference Number and has not notified the Department's representative the reasons why she/he

Has no Tax Reference Number.

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5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

Under standard SWA rules rent or mortgage interest supplements are normally calculated to ensure that a person, after the payment of rent or mortgage interest, has an income equal to the rate of SWA appropriate to their family circumstances less a minimum contribution, currently €24, which recipients are required to pay from their own resources. Many recipients pay more than €24 because recipients are also required, subject to income disregards, to contribute any additional assessable means that they have over and above the appropriate basic SWA rate towards their accommodation costs.

Rent Supplements are subject to a limit on the amount of rent that an applicant for Rent Supplement may incur. Rent Supplement is not normally paid where the rent payable to the landlord is in excess of the limits set out below. The HSE also has the authority to set levels below that provided for in regulations. The prescribed rent limits from 1st June 2010 are set out below:

County	Single person in shared accommodation	Couple in shared accommodation	Single person	Couple with no children	Couple with 1 child or one- parent family with 1 child	Couple with 2 children or one-parent family with 2 children	Couple with 3 children or one-parent family with 3 children
DUBLIN: FINGAL	€350	€390	€529	€770	€930	€1,000	€1,050
DUBLIN: Dun Laoghaire/Rathdown South Dublin Dublin City	€390	€400	€529	€800	€930	€1,050	€1,100
WICKLOW	€315	€325	€529	€710	€850	€900	€910
KILDARE	€320	€325	€485	€600	€750	€850	€900
LONGFORD	€195	€200	€345	€350	€400	€450	€500
WESTMEATH	€220	€260	€407	€450	€550	€590	€600
OFFALY	€220	€240	€407	€485	€550	€590	€600
LAOIS	€235	€240	€407	€485	€550	€590	€600
LIMERICK	€255	€260	€446	€500	€605	€650	€700
TIPPERARY NTH	€260	€265	€407	€450	€550	€640	€655
TIPPERARY STH	€250	€255	€468	€455	€555	€645	€650
CLARE	€220	€260	€407	€450	€550	€600	€650
LOUTH	€285	€286	€468	€529	€600	€685	€700
MONAGHAN	€195	€200	€368	€390	€500	€540	€550
CAVAN	€195	€200	€368	€400	€450	€500	€510
MEATH	€260	€265	€468	€550	€650	€700	€750
DONEGAL	€235	€240	€368	€455	€500	€550	€560
LEITRIM	€190	€200	€368	€390	€400	€450	€500
SLIGO	€220	€240	€407	€485	€540	€550	€600

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WEXFORD	€260	€300	€468	€520	€600	€650	€660
WATERFORD	€270	€280	€468	€470	€550	€650	€660
CARLOW	€260	€300	€468	€500	€600	€650	€660
KILKENNY	€260	€300	€468	€520	€600	€650	€665
KERRY	€235	€240	€407	€500	€550	€640	€650
CORK	€285	€290	€468	€610	€705	€765	€800
MAYO	€220	€225	€450	€455	€550	€600	€610
GALWAY	€255	€260	€468	€550	€700	€750	€760
ROSCOMMON	€190	€195	€370	€375	€450	€500	€520

5.2.2 *Income and earnings disregards*

Part-time earnings income disregard

- The assessment of means for the rent and mortgage interest supplement schemes provides for a gradual withdrawal of payment as hours of employment or earnings increase.
- Payments do not automatically stop just because someone takes up an employment or training opportunities.
- Incentives are in place to ensure that those benefiting from rent or mortgage interest supplement can avail of any employment opportunity.

The assessment of means for the rent and mortgage interest supplement schemes provides for a gradual withdrawal of payment as hours of employment or earnings increase.

Those availing of part-time employment and/or training opportunities can continue to receive a rent or mortgage interest supplement subject to their satisfying the standard means assessment rules. Since June 2007, where a person has additional income in excess of the standard weekly rate of supplementary welfare allowance, the first €75 of such additional income together with 25% of any additional income above €75 is disregarded for means assessment purposes. This ensures that those returning to work or participating in training schemes are better off as a result of taking up such an opportunity.

Rent or mortgage interest supplement is not payable where a person or their spouse or partner is in full-time employment, i.e. for 30 hours or more a week.

However, a person on rent supplement, who is accepted as eligible for accommodation under the rental accommodation scheme (RAS), may return to full-time work, subject to a means test, without losing entitlement to their rent supplement payment.

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Mortgage Interest Supplement and full-time employment

- Where a person, who has been unemployed for 12 months or more, and secures open market employment they may retain Mortgage Interest Supplement on the same tapered basis that applies to those participating in employment schemes, (75% in year 1, 50% in year 2, 25% in years 3 and 4), provided that:
 - He or she has been unemployed (but not certified unfit for work) for at least 12 months immediately prior to taking up employment;
 - The new job is full time i.e. at least 30 hours per week;
 - Gross household income does not exceed €317.43 per week (Family Income Supplement, PRSI + reasonable travel expenses, if applicable, are disregarded).
- This tapered payment option **only** refers to retention of Mortgage Interest Supplement.

5.3 Tax treatment of benefit and interaction with other benefits

Not taxable

5.4 Treatment of particular groups

6. Family benefits

Known as Child Benefit.

6.1 Conditions for receipt

Each dependent child under the age of 16, or under 18, if in full-time education qualifies

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

	Rate per month from January 2010 (in EUR)
1 st and 2 nd child	140.00
3 rd child	167.00
4 th and subsequent children	177.00

Multiple births Special Grants Rate of Payment: Birth – 635.00 EUR, at age 4 – 635.00 EUR, at age 12 – 635.00 EUR.

Twins: Child Benefit is paid at 150% the normal monthly rate for each child. All other multiple births: 200% the normal monthly rate of Child Benefit is paid.

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6.2.2 *Income and earnings disregards*

Not means-tested.

6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

None

6.4.2 *Older workers*

None

6.4.3 *Others if applicable*

Maternity Benefit: Max rate per week: 262.00 EUR, Min rate per week: 217.80 EUR.

Maternity Benefit is paid for 26 weeks. At least 2 weeks and not more than 16 weeks leave must be taken before the end of the week in which the baby is due.

Conditions for receipt:

If employed: At least 39 weeks PRSI paid in the 12-month period before. **Or** At least 39 weeks PRSI paid since first starting work **and** at least 39 weeks PRSI paid or credited in the relevant tax year or in the tax year immediately following the relevant tax year. **Or** At least 26 weeks PRSI paid in the relevant tax year **and** at least 26 weeks PRSI paid in the tax year immediately before the relevant tax year.

If self-employed: 52 weeks PRSI contributions paid at Class S in the relevant tax year. **Or** 52 weeks PRSI contributions paid at Class S in the tax year immediately before the relevant tax year. **Or** 52 weeks PRSI contributions paid at Class S in the tax year immediately following the relevant tax year. For example, if you are going on maternity leave in 2009, the tax year immediately following the relevant tax year is 2008.

If already getting a social welfare payment: Half-rate Maternity Benefit is payable if getting any one of the following payments:

- One-Parent Family Payment
- Widow's (Contributory) Pension
- Widow's (Non-Contributory) Pension
- Deserted Wife's Benefit
- Prisoner's Wife's Allowance

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- Guardian's Payment (Contributory)
- Guardian's Payment (Non-Contributory)
- Death Benefit by way of Widow's/Widower's or Dependent Parents' Pension (under the Occupational Injuries Scheme)

Disqualification from Maternity Benefit

Payment will be stopped if you engage in insurable (paid) employment.

Adoptive Benefit: Max rate per week: 262.00 EUR, Min rate per week: 217.80 EUR.

-Payment to an adopting mother or a single male who adopts a child, paid for a continuous period of 24 weeks from the date of placement of the child

Conditions for receipt:

If employed: to qualify for Adoptive Benefit one must be in employment which is covered by the Adoptive Leave Act 1995 immediately before the first day of the adoptive leave and have at least:

- 39 weeks PRSI paid in the 12-month period before. **Or:** 39 weeks PRSI paid since first starting work **and** at least 39 weeks PRSI paid or credited in the relevant tax year or in the year immediately following the relevant tax year. **Or:** 26 weeks PRSI paid in the relevant tax year and at least 26 weeks PRSI paid in the tax year before the relevant tax year.

If self-employed:

- 52 PRSI contributions paid at Class S in the relevant tax year. **Or:** 52 PRSI contributions paid at Class S in the tax year immediately before the relevant tax year. **Or:** 52 qualifying PRSI contributions paid at Class S in the tax year immediately following relevant tax year.

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7. Childcare for pre-school children

Information is not available on the fraction of pre-school children in childcare. Children can enter school on their fourth birthday but must have started school by their sixth birthday.

7.1 Out-of-pocket childcare fees paid by parents

All centre based childcare providers and larger scale home based child minders are obliged to register with the Health Service Executive, and provide information on the number of places and the type of childcare involved (i.e. full day, sessional etc). However, a significant aspect in Irish childcare is that parents often choose that it be provided by home-based childminders, many of whom if they are low scale operations, do not have to register with the HSE, and operate in the informal economy. Therefore, these figures of registered and notified childcare places would under-state the true figure.

There is no official figure for the average fees paid by parents for childcare. The CSO survey² which provided such data is now some 3 years out of date, and anecdotal evidence would suggest that this makes it no longer reliable.

Rates are not regulated by Government, and may depend on a number of factors such as;

- The age of the child
- Location
- Type of provider (e.g. community or private sector)
- Type of service
- Quality of service (i.e. if there are extras included)
- Parents income (e.g. community providers may charge less to social security recipients)

Average of costs of paid childcare are available in *Quarterly National Household Survey, Childcare, Quarter 1, 2005* (http://www.cso.ie/releasespublications/documents/labour_market/current/qnhschildcare.pdf).

There is no legislation covering the rates to be charged for child care. Fees paid for childcare are not tax deductible, and are not taken into account when determining entitlement to benefits such as social assistance.

7.2 Child-care benefits

There are no such cash benefits. Government policy is to support all child related costs incurred by parents, including childcare costs, through Child Benefit. See section 6.

For parents who stay at home to care for children, the Home Carers Allowance may provide a tax credit of up to EUR 900. See section 10 for details.

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

7.2.1 *Conditions for receipt*

7.2.2 *Calculation of benefit amount*

7.2.2.1 *Calculation of gross benefit*

7.2.2.2 *Income and earnings disregards*

7.2.3 *Tax treatment of benefit and interaction with other benefits*

7.2.4 *Treatment of particular groups*

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

8. Employment-conditional benefits

Employment-conditional benefits exist:

- a) Family Income Supplement (FIS).

8.1 Conditions for receipt

8.2 Calculation of benefit amount

8.2.1 Calculation of gross benefit

- a) FIS

Pays 60 per cent of the difference between the net family income and an earnings limit. The earnings limit varies with family size. A minimum supplement of EUR 20 is payable.

Family size	Weekly net earnings limit (in EUR)
1 Child	506
2 Children	602
3 Children	703
4 Children	824
5 Children	950
6 Children	1066
7 Children	1202
8 Children	1298

- b) CCDP

Recipient will continue to be paid for their children for 13 weeks if they get work for at least 4 weeks.

8.3 Tax treatment of benefit and interaction with other benefits

Once an entitlement to the relevant benefit is established, it is not affected by income

8.4 Benefit duration

- a) FIS: 52 weeks (renewable).

8.5 Treatment of particular group

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

8.5.1 *Young persons*

None

8.5.2 *Older workers*

None

8.5.3 *Others if applicable*

None

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

9. LoneParent Benefits

The One-Parent Family Payment (OFP).

9.1 Conditions for receipt

To qualify for the One-Parent Family Payment, a person must:

- be the parent, step-parent, adoptive parent or legal guardian of a qualified child;
- be the main carer of at least one qualified child who must live with you (the OFP is not payable if the parents have joint equal custody of a child or children);
- have earnings of €425.00 or less per week;
- satisfy a means test;
- be habitually resident in Ireland, and
- not be living with a spouse, civil partner or co-habitant.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

The OFP is made up of a personal rate for the parent and of extra amounts for dependent children. The payment rate in 2011 is €188.00 per week – with a further €29.80 for each additional qualified child.

In EUR, per week, age 65 or under

Assessable Means	Benefit Rate
Up to 7.60	188.00
7.60 to 10.10	185.50
Each 2.50 increase	2.50 decrease
Dependent child increase	29.80

9.2.2 Income and earnings disregards

From January 2009:

For those who are working, there is a EUR 146.50 per week disregard. In addition, only half of any earned income (minus income and social security taxes) in excess of the disregard to a maximum of EUR 425.00 earnings are counted as means. Benefit income is disregarded. Where earnings exceed EUR 425.00 per week, half rate payment continues for a further 6 months. (This payment was dropped for 2004 but re-instated in 2005) Those in work can only receive half of the personal rate of Jobseeker's Benefit, and there are no increases for child dependants.

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

9.3 **Tax treatment of benefit and interaction with other benefits**

The OFP is taxable but not liable to social security contributions. Social insurance contributions, superannuation/PRSA contributions and trade union subscriptions are not taken into account in the assessment of earnings.

9.4 **Benefit duration**

Legislative changes were introduced to the OFP in the Social Welfare (Miscellaneous Provisions) Act, 2010. These came into effect on 27th April, 2011.

Under the amended scheme, for new customers, payment is be made until the youngest child reaches the age of 14 . Existing payments are being phased out over a six-year period, with entitlement to the OFP being maintained at the age of 18 for 2011 and 2012, and then being reduced on a yearly basis from the age of 17 in 2013 to 16 in 2014, to 15 in 2015 and 14 in 2016.

9.5 **Treatment of particular group**

9.5.1 *Young persons*

None

9.5.2 *Older workers*

See 9.2.1 above

9.5.3 *Others if applicable*

None

10. Tax system

Tax is levied on the combined income of both spouses. Either spouse may, however, opt for separate assessment, in which case the tax payable by both spouses must be the same as would be payable under joint taxation. A further option allows either spouse to opt for assessment as single persons in which case they are treated as separate units. The calculations presented in this Report are based on family taxation.

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

10.1.1.2 Standard tax credits

- Basic reliefs: The single person's credit is € 1650 per year.
- Standard marital status reliefs: The married person's credit is €3330 per year (i.e. twice the basic credit of €1650).
- Employee credit: With the exception of certain company directors and their spouses and the spouses of partners in partnership cases, all employees, including (subject to certain conditions) children who are full-time employees in the business of their parents, are entitled to an employee credit of € 1650.
- Single-Parent Family Relief: The single parent family credit is EUR 1 650.
- Home Carers Allowance: This is a tax credit of EUR 810 for families where one spouse works at home to care for children, the aged or incapacitated persons, where the carer spouse's income does not exceed EUR 5 079. A reduced measure of relief is granted for income between EUR 5 080 and EUR 6 620: if the income exceeds EUR 5 080 the tax credit is reduced by one half of the income of the Home Carer that exceeds this limit. This credit and the increased standard rate tax band for two income couples (see tax schedule below) are mutually exclusive but the person may opt for whichever is the more beneficial. If the Home Carer earns income of up to EUR 5 080 in his/her own right for the tax year, the full tax credit may be claimed. For the purposes of this tax credit, income means any taxable income such as income from a part-time job, dividends, etc. but does not include the Carer's Allowance payable by the Department of Social and Family Affairs. The calculations within this Report take into consideration the New Carers Allowance.

10.1.2 Income tax schedule

Band of taxable Income (EUR)				Rate (%)
Single/ Widow(er)	Married Couple (One Income)	Married Couple (Two Incomes)	One-Parent Families	
Up to 32800	Up to 41800	Up to the lesser of: 65600; 41800 plus the amount of the lowest income	36800	20
Balance	Balance	Balance	Balance	41

Low income exemption and marginal relief tax

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Where total income is less than or equal to the income exemption limit that income is exempt from tax.

Exemption limits:

Single/Widowed	EUR
Under 65	5 210
65 and over	17 000
Married	
Under 65	10 420
65 and over	34 000
Children	
One or two children (each)	575
Subsequent children	830

The marginal relief rate of tax applies where liability to tax at the marginal relief rate is less than that which would be chargeable under the normal tax schedule and where total income is less than twice the relevant exemption limit, otherwise tax is charged under the normal tax schedule.

- Marginal relief tax is charged, where applicable, at a rate of 40% on the difference between total income and the relevant exemption limit.

10.1.2. Income levy

Universal Social Charge (USC)

The Universal Social Charge (USC) replaces the Income and Health Levies and applies at a low rate on a broad base.

The USC is charged on an individualised basis on gross income at 2 per cent on income up to and including €10,036, at 4 per cent for income in excess of €10,036 but not greater than €16,016 and at 7 per cent above that level. Those aged over 70 year do not pay this higher rate and there is a lower exemption threshold €4,004.

The USC does not apply to social welfare payments, including contributory and non-contributory social welfare State pensions.

Individuals in possession of full medical card, incl a Health Amendment Act card, will only pay USC at a max rate of 4% irrespective of the level of their income. However, when an individual has self-employment income in excess of €100,000 for a tax year, the max rate is 7% on the amount of the excess. Non-medical card holders are subject to a maximum rate of 10% on such income.

USC rates for individuals aged 70 years and over, and individuals who hold FULL medical cards:

The 4% rate applies to all income over 10,036. There is a surcharge of 3% on individuals who have income from self employment that exceeds €100,000 in a year, regardless of age. Where such individuals are aged over 70 years or hold a full medical card, a rate of 7% applies.

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

10.1.3 State and local income taxes

No State or local income taxes exist in Ireland.

10.2 Treatment of family income

Tax is levied on the combined income of both spouses. Either spouse may, however, opt for separate assessment, in which case the tax payable by both spouses must be the same as would be payable under joint taxation. A further option allows either spouse to opt for assessment as single persons in which case they are treated as separate units. The calculations presented in this Report are based on family taxation

10.3 Social security contribution schedule

Contributions are payable as a percentage of an employee's gross earnings less allowable superannuation contributions. No distinction is made by marital status or sex. The first EUR 352 of weekly earnings are exempt from social insurance. If the employee is not exempt, then an allowance of EUR 127 per week is applicable for social insurance contribution purposes. The following is a breakdown of the 2011 rate of contribution together with ceilings where applicable:

Description	Rate	Threshold (EUR)	Ceiling (EUR)
Pension and social insurance	4.00		

Like employees' contributions, employers' contributions are payable as a percentage of gross employee earnings less allowable superannuation contributions. The following is a breakdown of the 2008 rate of contribution:

Description	Rate %	Ceiling (EUR)
Occupational injuries	0.50	
Redundancy contribution	0.40	
Pension and social insurance	9.85	
TOTAL	10.75	No ceiling

The employers' contribution is reduced from 10.75 per cent to 8.5 per cent in respect of employees earning less than EUR 356 per week.

10.4 Treatment of particular group

10.4.1 Young persons

None

10.4.2 Older workers

None

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

10.4.3 *Others if applicable*

None

11. Part-time work

11.1 Benefit rules for part-time work

Part-time workers are entitled to UI benefits under the same scheme as full-time workers, ie provided they are available for full-time work. They have to fulfil the same qualifying conditions. Part-time workers can receive Unemployment Insurance/Assistance for days not worked. Part-time workers are covered by Social Insurance where earnings are in excess of EUR 38.

11.2 Special tax and social security contribution rules for part-time work

There are no special rules relating to part-time work.

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

12. Policy developments

12.1 Policy changes introduced: 2nd July 2010 – 1st July 2011

Reform of the One-Parent Family Payment

Legislative changes were introduced to the One-Parent Family Payment (OFP) in the Social Welfare (Miscellaneous Provisions) Act, 2010, and these will come into effect from 27 April, 2011.

The current OFP provides long-term income support to lone parents until their youngest child is aged 18, or 22 if in full-time education.

Under the amended scheme, for **new customers**:

- payment will be made until the youngest child reaches the age of 14;
- there will be a special provision to allow for the continuation of the OFP for lone parents who are in receipt of the Domiciliary Care Allowance – payable until the child reaches the age of 16;
- there will also be a special provision for those who are recently bereaved (married, co-habiting, in a civil partnership), with no children under the age of 14, to claim the OFP for a period of up to 2 years from the date of death, or until their youngest child reaches the age of 18.

When the youngest child reaches the age of 14, if the parent is still in need of income support, they may then claim the Jobseeker's Allowance, or, if in low-paid employment of more than 19 hours per week and earning below the relevant income threshold, the Family Income Supplement.

Supplementary Welfare Allowance Changes 2010 to June 2011

- From January 2011, a minimum differential of €2 between the weekly personal rate of basic supplementary welfare allowance and other Social Welfare schemes was introduced.
- As rent and mortgage interest supplement entitlements are based on the rate of basic supplementary welfare allowance, this resulted a reduction of €2 per week for the majority of RMIS claimants
- From January 2011, the landlord Tax Reference Number must now be provided as a pre-condition to entitlement for Rent Supplement.
- From January 2011, the Universal Social Charge, which *inter alia* replaced Health Contributions and Levies, was introduced. Health Contributions were allowable as deductions under the means test. The USC is NOT allowable as a deduction from customers' earnings or spouse/civil partner/cohabitant earnings for all supplementary welfare allowance schemes.
- From April 2011, new penalty rates apply to those who refuse to participate or to agree to participate on courses of training offered by the Department / FAS / National Employment Action Plan NEAP. The penalty rates for Supplementary Welfare Allowance are as follows:
 - Personal rate reduced by €42
 - 18-21 year-old rate reduced from €100 to €75
 - 22-24 year-old rate reduced from €144 to €111

Duration of Jobseeker's Benefit reduced to 12 months.

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

12.2 ***Future policy changes announced since 1st July 2011***